AC444:
Security Analysis and Evaluation

Dr Xi Li

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Learning Methods

- In the first ten weeks, two 1.5 hour sessions comprise a blend of lectures, problem solving and case discussion.
  - Usually, 1.5 hour lecture plus 1.5 hour case discussion.

- In Week 11, students will present a group case.

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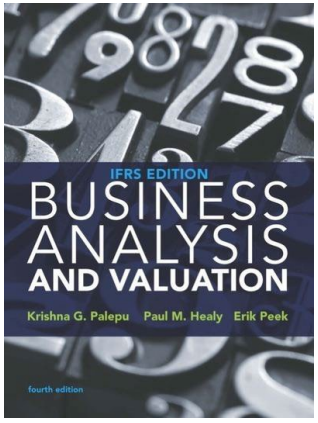
Course Materials



- Recommended reading (Part 1):

  K Palepu, P. Healy and E. Peek, *Business Analysis & Valuation*, 6th IFRS edition, CENGAGE Learning, 2022.

- E-book available for free access via Kortext (link on Moodle)
  - Some case studies are included in this book (refer to the course outline for page numbers).

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Course Assessment

- A **group** report and presentation for a financial analysis and valuation **project** (40% weight)
  - Details to be announced later.
- Four **on-line quizzes** on Moodle (5% weight)
  - Due dates provided in course outline and on Moodle.
- A formal **closed-book examination** in the Spring Term (55% weight) .

Rules

- All sessions are in person, please:
  - Arrive classroom on time
  - **Silence** your phones and devices
- All course materials are available for download from Moodle!
- All lectures are recorded (links on Moodle).
- **Come prepared to each class**
  - Read the pre-uploaded lecture slides (*some contents are taken out, but will be added after class*).
  - Read the cases and think about the questions.

Questions and inquiries:

- E-mail: xi.li@lse.ac.uk
  - I reply within 24 hours (except weekends)

- Office hours:
  - Bookings via Student Hub

- All admin questions: email Ms Dot Richards D.Richards@lse.ac.uk

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Before We Start…

Go to: www.menti.com on your phone or laptop and use code 1681 8862

- About me
  - B.A. in Finance, Peking University, China
  - Worked in World Bank for a short period of time
  - PhD in Accounting, London Business School
  - Lived in the U.S. for six years (Philadelphia)
  - Joined the LSE in 2016 (have being teaching this course since then)
  - Research in topics of sustainability
- About you

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Introduction and Framework for Financial Analysis

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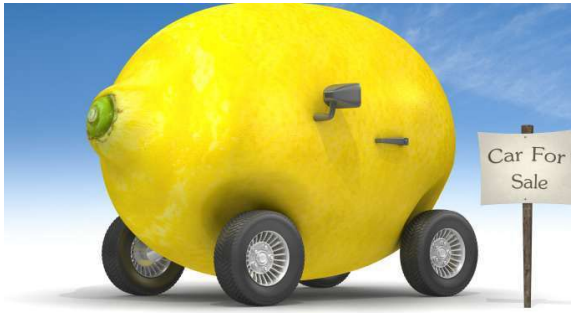
Key Concepts

- Lemons problem and information asymmetry in capital markets
- Role of financial reporting in capital markets
- Business activities and financial statements
- Noise and bias in financial statements
- Role of auditors and public enforcement

The Lemons Problem



Lemons Problem in Used Cars

- If we can't distinguish between “good” and “bad” (lemons) used cars, we are willing to pay only an <u>average</u> of good and bad car values
- <u>Result:</u> Good cars won’t be sold, and the used car market will function inefficiently

Academic Reading: Akerlof (1970): Market for lemons

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How do we solve lemons problem?

- Increased disclosure
- Regulation
- Guarantee and warranties
- Third-party certification
- Licensing
- Liabilities laws

What causes lemons problem?

- Information asymmetry
- Different incentives for buyers and sellers
- How do “information asymmetry” and “lemons problem” affect capital markets?

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How does lemons problem affect capital markets?

- If we can't distinguish between good and bad securities, willing to pay only average of good and bad securities' value
- Result: Good securities undervalued and firms won't issue them; bad securities overvalued so too many issued
- Solution:
  - Financial intermediaries (e.g., venture capital firms, banks, funds, insurance firms etc.)
  - Information intermediaries (e.g., auditors, analysts, credit rating agencies etc.)

How do financial intermediaries and information intermediaries help improve market efficiency?

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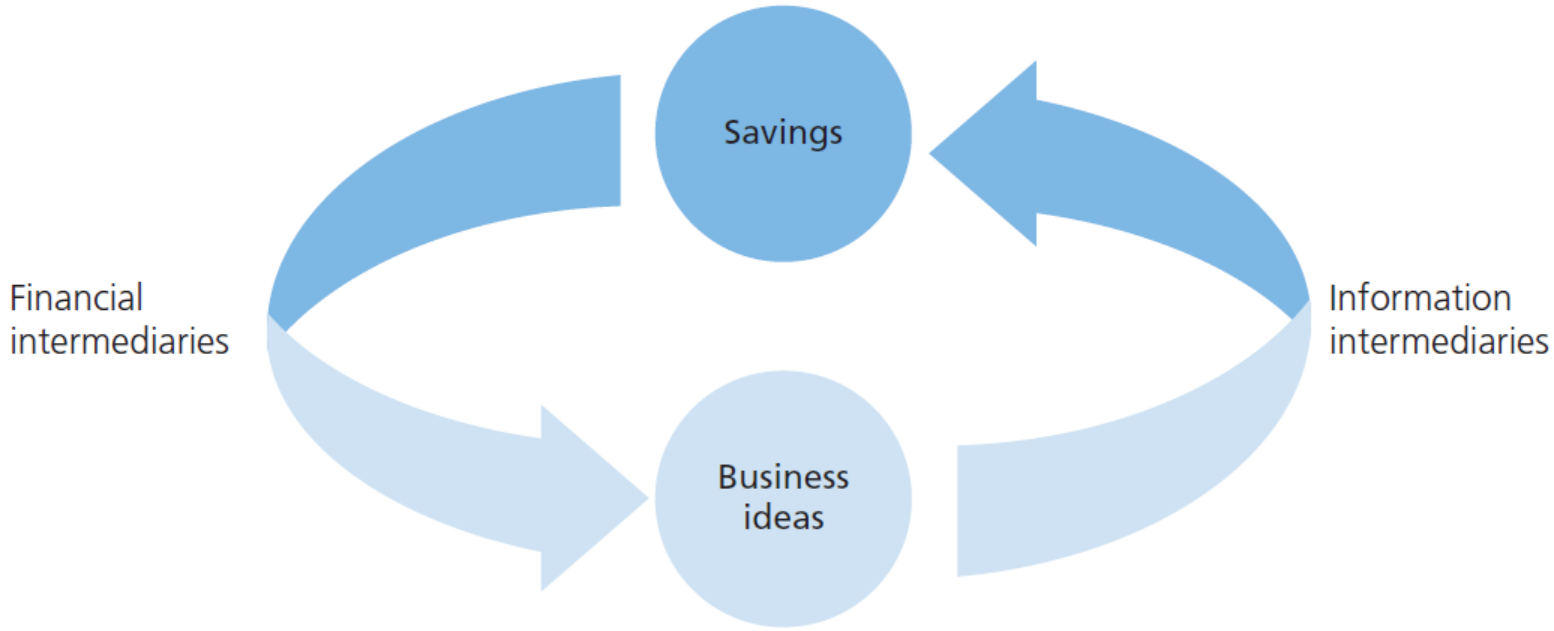
How Capital Markets Function

FIGURE 1.1 Capital markets



Role of Financial Reporting in Capital Markets

- Financial reporting provides much-needed *information* to capital market participants
  - Financial intermediaries depend upon the information in financial statements to evaluate investment opportunities.
  - Information intermediaries assure the quality of financial statement representations.
  - Relevant and reliable financial information is essential for the functioning of capital markets.

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Business Activities => Financial Statements

- Financial statements measure and summarize the economic consequences of business activities

- Accounting systems facilitate information quality
  - The need for accounting conventions and standards
  - Managers' accounting choices and strategies
  - Auditing and the quality of financial information

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Recall key elements of financial statements

- Income Statement (Profit & Loss)
  - Operating performance during a period
  - Revenue, expense, net income
- Balance Sheet
  - A snapshot of a firm's financial position
  - Assets, liabilities, shareholders' Equity
- Cash Flow Statement
  - Cash flow from operating, investing, and financing activities

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Key elements of financial statements (cont'd)

- Statement of other comprehensive income
  - Changes in equity not included in income statement (other comprehensive income – e.g. unrealized gains and losses on available for sale securities, gains and losses from foreign currency translation, gains and losses on derivatives held as cash flow hedges, etc.)
- Statement of changes in equity
  - Summaries all changes in equity during the period including: P&L, other comprehensive income, and the financial effects of transactions with the owners of the firm (e.g. dividends, share repurchase, share issuance etc.)

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Key elements of financial statements (cont'd)

- Notes to financial statements
  - Critical accounting estimates and judgment
  - Segment information
  - Detailed breakdown of assets
  - Detailed breakdown of financial instruments
  - Details on retirement benefits
  - Details on leases
  - And many others
- Management narrative discussion of firms' activities, performance and risks

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Where to find a firm's financial statements?

- Look for: "annual reports"
  - Search "company name" and "annual reports"
  - Look for "Investor" or "Investor relations" at company website

- Other sources: government filings
  - US: SEC filings

http://www.sec.gov/edgar/searchedgar/webusers.htm

  - UK: Companies house

https://beta.companieshouse.gov.uk

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Rules for Financial Statements

Now, we know where to look for financial statements.

Next, we need to understand these numbers.

The first step is to understand the rule for financial statements – accounting standards

Rules for Financial Statements

- What are the objectives of accounting standards?
  - Effectively and truthfully communicate business activities to *external* users of accounting

  - External users: shareholders, bondholders, lenders, government (tax), etc.
- However, not all users demand the same kind of information. Who are the target users of standard setters?
  - Mainly shareholders

Academic Readings: Ball, Li, Shivakumar (2015): IFRS adoption reduces usefulness of accounting in debt contracts; De George, Li, Shivakumar (2016), Section 2 (Objectives and rational for IFRS adoption)

Pop Quiz

- What are the commonly used accounting standards in the world?
  - IFRS, US GAAP, domestic GAAP
- Which countries do NOT require IFRS today?
  - US and Japan are the only economies
- Useful website: http://www.iasplus.com/en/jurisdictions/jurisdictions
- Who are the standard setters?
  - US GAAP: Financial Accounting Standards Board (FASB) – governed by Securities and Exchange Commission (SEC)
  - IFRS: International Accounting Standards Board (IASB) – overseen by IFRS Foundation

International Financial Reporting Standards (IFRS)

- The EU and other countries worldwide have relied on the IASB to set accounting standards (IFRS); many countries have endorsement procedures
- IFRS allows for consistency in reporting between firms and over different time periods of the same firm
- Uniform accounting standards minimize manager's ability to manipulate financial statement information
- Rigid accounting rules may be dysfunctional; calls for principles-based accounting standards

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Are the Rules Always Followed?

Research shows that countries using the same set of accounting rules exhibit very different accounting properties. Why?

- Market force: different demand for information
- Enforcement: different enforcement levels lead to different compliance level and thus accounting quality

Academic Readings: Ball, Robin, and Wu (2003); Christensen, Hail, and Leuz (2013)

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Role of Market Force

- Recall the purpose of financial reporting
  - Effectively and truthfully communicating business activities to external users of accounting
  - External users: shareholders, bondholders, lenders, government (tax), etc.
- External users' demand determines the properties of reported accounting numbers
  - Common-law countries (e.g. UK, US): shareholder-oriented
  - Code-law countries (e.g. Germany, Japan): stakeholder-oriented

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Management's Responsibility for Reporting Financial Information

- Managers have superior knowledge of a firm's business activities (insiders)
- Applying accounting principles correctly and truthfully is the responsibility of management
- Disclose any material information that is potentially relevant to external users
- **But…** incentives exist for managers to distort accounting numbers in their own favour (next week's class)

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Other Enforcement Mechanisms

- Shareholder litigation
  - Shareholders sue managers for misreporting or hiding material information
  - Only common in certain common-law countries such as the US and UK
- Influence and independence of accounting and auditing profession

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Role of External Auditing

- Auditors are trained individuals hired by a company as an **independent** party to express a professional opinion of the **accuracy** of that company's financial statements

Role of auditors

Help ensure that management has in fact ***appropriately applied*** GAAP in preparing the company's financial statements

Help investors and creditors in their decisions by adding ***credibility*** to the financial statements

Big-Four Audit Firms

Deloitte.

PRICEWATERHOUSECOOPERS

KPMG

ERNST & YOUNG

External Auditing of Financial Statements

- Required for publicly traded companies; within the EU also required for some private firms
- Conducted according to standards:
  - EU: minimum standards set by the Revised Statutory Audit Directive and Regulation (US: Sarbanes-Oxley Act)
  - International Standards of Auditing (US: Generally Accepted Auditing Standards, or GAAS)

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Limitation of External Auditing

"You handled the audit so well, we're promoting you from Accounts Receivable to Accounts Deceivable."

- Independence of auditor
- Auditing quality
  - backed up by legal liability and public enforcement
- Quarterly and semi-annual reports are not audited
- Information disclosed outside financial statements are not audited

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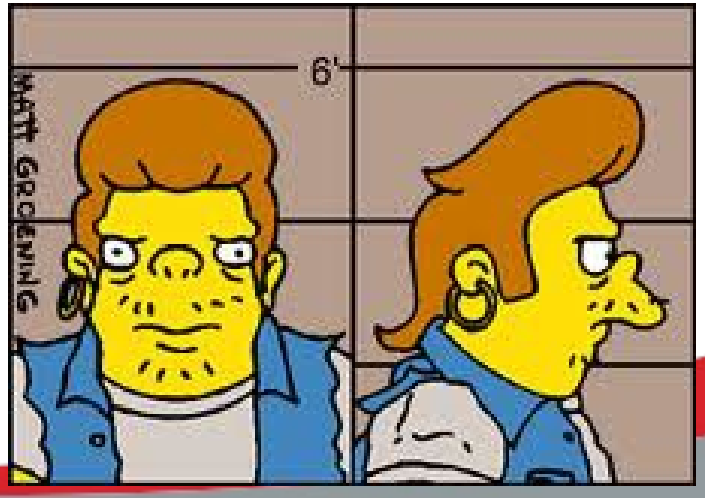
Enron Scandal

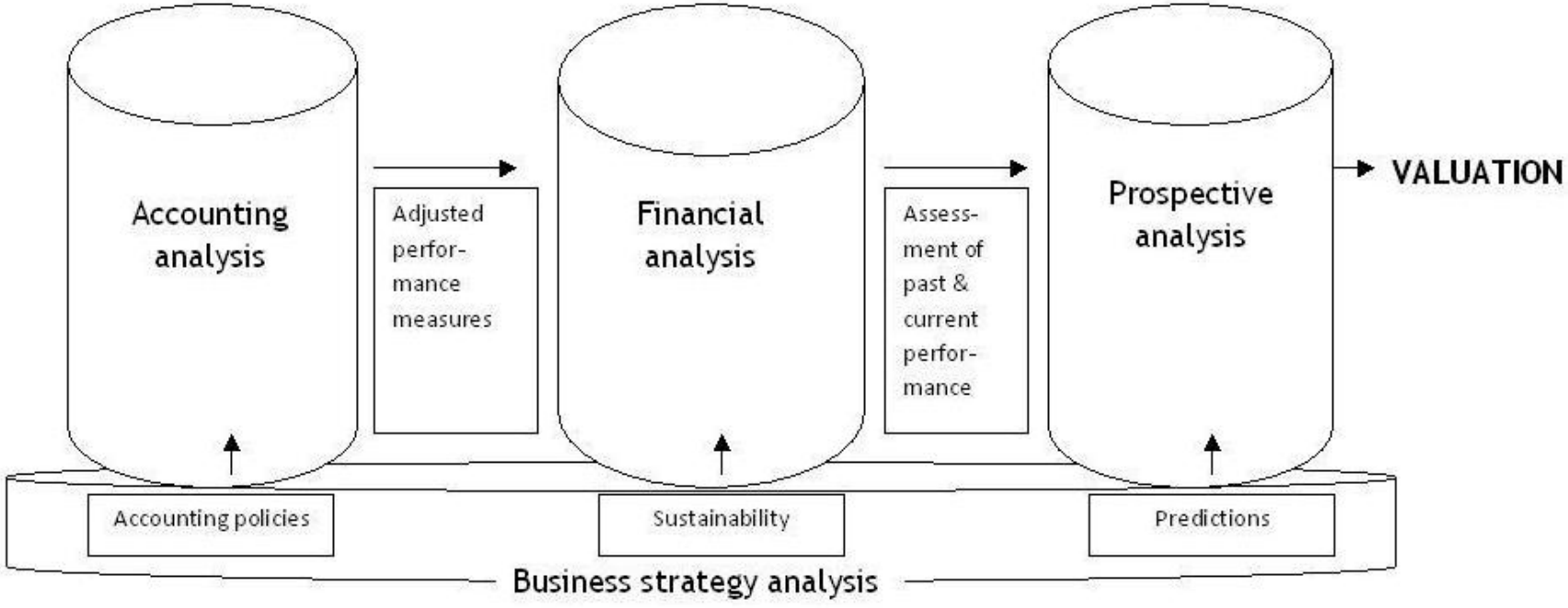
To learn more about Enron scandal

U.S. Sarbanes-Oxley Act (SOX) in 2002

This act provides regulation of auditors and the types of services they furnish to clients, increases accountability of corporate executives, addresses conflicts of interest for securities analysts, and provides for stiff criminal penalties for violators.



Business Analysis Tools



Conclusions

- Financial statements are a source of widely available data on publicly traded corporations
- Understanding the framework and limitations of financial statements can better help us make use of them
- For the next two weeks, we are going to learn how to use financial statements to conduct accounting analysis
- Then we are going to learn how to use accounting information for financial and ratio analysis

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